

Homeowners Insurance Policy

Carrier: Northwind Mutual Insurance Company (synthetic — for training use only)
Policy Form: HO-3 Special Form
Policy Number: HOME-2024-00871
Policy Period: 01 Jan 2024 12:01 a.m. – 01 Jan 2025 12:01 a.m. (Local time at the residence)

*This is a **synthetic** document created for a training workshop. It does not represent a real insurance contract and must not be used for actual coverage decisions.*

Section 1 — Declarations

Field	Value
Named Insured	Daniel R. and Maria T. Okafor
Mailing Address	48 Birchwood Lane, Maplefield, ST 04421
Insured Property	Same as mailing address (primary residence, single-family dwelling)
Year Built	2006
Construction	Wood frame, asphalt shingle roof

Coverage limits

Coverage	Description	Limit
A — Dwelling	The house and attached structures	\$420,000
B — Other Structures	Detached garage, fence, shed	\$42,000
C — Personal Property	Contents (furniture, appliances, belongings)	\$210,000
D — Loss of Use	Additional living expenses if home is uninhabitable	\$84,000
E — Personal Liability	Per occurrence	\$300,000
F — Medical Payments to Others	Per person	\$5,000

Deductibles

Deductible type	Amount
All Perils (standard)	\$1,000 per claim
Windstorm / Hail	\$1,000 per claim
Water Damage (sudden & accidental)	\$1,000 per claim

*Unless a specific peril deductible is stated above, the **standard All Perils deductible of \$1,000** applies to each covered loss.*

Section 2 — Insuring Agreement

In return for payment of the premium and subject to all terms of this policy, Northwind Mutual agrees to provide the coverage described herein for direct physical loss to the insured property caused by a **covered peril**, except as limited or excluded in Section 5.

Section 3 — Definitions

- **Covered peril** — a cause of loss that is insured under this policy and not otherwise excluded.
 - **Sudden and accidental** — an event that is both unexpected and unintended, occurring at a specific point in time (as opposed to gradual).
 - **Occurrence** — an accident, including continuous or repeated exposure to substantially the same harmful conditions, that results in covered loss.
 - **Actual Cash Value (ACV)** — replacement cost minus depreciation.
 - **Replacement Cost** — the cost to repair or replace property with material of like kind and quality, without deduction for depreciation.
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Section 4 — Covered Perils

This policy insures against direct physical loss to the property caused by the following perils, unless excluded in Section 5.

4.1 Windstorm and Hail

Loss caused by wind or hail, including damage to the roof, windows, siding, and exterior structures. Interior damage is covered **only if** the wind or hail first creates an opening in the roof or wall through which rain, snow, or debris enters. Subject to the Windstorm/Hail deductible.

4.2 Water Damage — Sudden and Accidental

Loss caused by the **sudden and accidental** discharge or overflow of water or steam from within a plumbing, heating, air-conditioning, or appliance system. This **includes** damage from a **burst or ruptured pipe**. Covered water damage includes resulting damage to floors, walls, cabinetry, and personal property. Subject to the Water Damage deductible.

Not covered under 4.2: damage caused by **continuous or repeated seepage** over a period of weeks or months (see Exclusion 5.7), or water that backs up through sewers or drains unless the Water Backup endorsement (Section 7) is purchased.

4.3 Falling Objects

Loss caused by **falling trees, tree limbs, or branches**, and impact by **aircraft or land vehicles**. Interior and contents damage resulting from a falling object that creates an opening in the dwelling is covered. This peril applies to terrestrial falling objects and vehicle/aircraft impact only; it does **not** extend to extraterrestrial objects, meteorites, satellites, or other space debris, which are not addressed by this policy.

4.4 Fire and Smoke

Loss caused by fire, lightning, or smoke from a sudden and accidental fire.

4.5 Theft and Vandalism

Loss caused by theft, attempted theft, or malicious vandalism, provided the residence was not vacant for more than 60 consecutive days before the loss.

4.6 Weight of Ice, Snow, or Sleet

Loss caused by the weight of ice, snow, or sleet that damages the dwelling or other structures.

Section 5 — Exclusions

This policy does **not** cover loss caused directly or indirectly by any of the following, regardless of any other cause contributing to the loss:

- 1 **5.1 Flood** — surface water, waves, tidal water, storm surge, or overflow of a body of water, whether wind-driven or not. Flood is excluded under this policy. (Separate flood insurance is required.)
 - 2 **5.2 Earth Movement** — earthquake, landslide, sinkhole, or mudflow.
 - 3 **5.3 Wear and Tear** — gradual deterioration, aging, rust, corrosion, or mechanical breakdown.
 - 4 **5.4 Neglect** — failure to use reasonable means to protect property at and after the time of a loss.
 - 5 **5.5 Intentional Loss** — any loss arising from an act committed by or at the direction of an insured with intent to cause a loss.
 - 6 **5.6 War and Nuclear Hazard** — war, insurrection, or nuclear reaction, radiation, or contamination.
 - 7 **5.7 Continuous Seepage** — constant or repeated leakage of water over a period of 14 days or more.
 - 8 **5.8 Mold** — mold, fungus, or wet rot, except as a direct result of a covered water-damage loss and then only up to \$10,000.
 - 9 **5.9 Pest Damage** — damage caused by insects, rodents, birds, or domestic animals.
 - 10 **5.10 Business Property** — property used primarily for business beyond a \$2,500 sublimit.
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Section 6 — Conditions and Claims Process

6.1 Duties After a Loss

In the event of a loss, the insured must:

- 1 Notify Northwind Mutual or its agent **promptly** (within 30 days of discovery).
- 2 Take reasonable steps to **protect the property** from further damage; reasonable emergency repairs are reimbursable.
- 3 Provide a **description of the loss**, the date and cause, and a list of damaged property.
- 4 Provide supporting documentation: **photographs, repair estimates** (at least two for losses over \$2,500), receipts, and proof of ownership where available.
- 5 Cooperate with any investigation or inspection.

6.2 Loss Settlement

- Dwelling (Coverage A) and Other Structures (Coverage B) are settled at **Replacement Cost**, provided the dwelling is insured to at least 80% of its replacement value.
- Personal Property (Coverage C) is settled at **Actual Cash Value** unless the Replacement Cost Contents endorsement (Section 7) is purchased.
- The applicable **deductible** is subtracted from each covered loss before payment.

6.3 Information Commonly Required to Finalize a Claim

- Date and time of the incident.
- Cause of loss and how it was discovered.
- Itemized list of damaged property with approximate values.
- Photographs of the damage.
- Two repair or replacement estimates for losses exceeding \$2,500.
- Police or fire report for theft, vandalism, or fire claims.

6.4 Time to Pay

Covered claims are paid within 30 days after Northwind Mutual reaches agreement with the insured on the amount of loss.

Section 7 — Optional Endorsements on This Policy

Endorsement	Status on HOME-2024-00871
Water Backup of Sewers and Drains	Not purchased
Replacement Cost Contents	Purchased (Coverage C settled at Replacement Cost)
Scheduled Personal Property (jewelry, fine art)	Not purchased
Identity Theft Protection	Not purchased

Quick reference — common scenarios

Scenario	Covered?	Basis
Burst kitchen pipe floods floor and cabinets	Yes	4.2 Water Damage (sudden & accidental); \$1,000 deductible
Tree limb breaks window in a storm; rain damages carpet	Yes	4.3 Falling Objects + 4.1 resulting interior damage; \$1,000 deductible
River overflows and floods the basement	No	5.1 Flood excluded
Slow drip under sink rots the cabinet over months	No	5.7 Continuous Seepage excluded
Meteorite strikes the roof	Not addressed	4.3 covers terrestrial falling objects only; policy is silent on space debris
Earthquake cracks the foundation	No	5.2 Earth Movement excluded
Theft of a laptop after a break-in	Yes	4.5 Theft; \$1,000 deductible; police report required